



Government's policy ensures the employment of local people. The State Government emphasizes on establishing technical institution for training of local youths for employment good employment feature and special opportunities for setting up of value addition plants, which would not only generate employment opportunities in the state, but also generate higher revenues for the state from the sale of processed minerals.

The state has a series of investor-friendly initiatives, which will prove beneficial to its investors. The Government is making an effort to get a rebate on the Central Sales Tax (CST) and take approval for the status of a special state. It is also trying to make provisions for the units to be established at pithead. A comprehensive land plan is in the offing as well, with the state government set to announce the Rehabilitation and Resettlement (R&R) policy, which would help fix a benchmark price for land and introducing the seller as share holder of the new industries thus benefiting both the buyer and seller. It will therefore become faster and hassle-free for corporate entities to acquire land and set up units.

In the past year, the State Government has made persuasive efforts to fructify some of the 42 MoUs it had entered into, which, for various reasons, weren't set into motion earlier. The Government has also shortened the time required for the processing of the lease. But priority on mining lease would be given to companies who would also set up value addition units.

■ INDUSTRY: CONFIDENT STRIDES

Jharkhand was always known as the ideal location to set up industry, owing to its availability of land and its vast mineral reserves. The industrial climate in the State is looking up more and more. Under the PMRY, 5,749 beneficiaries were provided with Rs. 4243.86 lakh as loan and about 1854 units were registered in the financial year 2006-07.

The biggest industry in the State after Mining and Power is Steel. MOUs worth over Rs. 2.7 lakh crores have been signed-up by the State with National and International companies such as Hindalco Industries, Jindal Steel and Power, Tech Al Corporation (USA), Tata Steel, Mittal Steel, Electrosteel Castings and others. Jharkhand has the distinction of



attracting some of the biggest investments in terms of steel in the country, no mean feat for a state that is only seven years old. Most of the investors have started their sponge iron industry which is successfully running in the state providing employment to the local people and adding revenue to the state. Some of the important industries in this sector are M/s Jharkhand Ispat, M/s Nilanchal Iron & Power Limited, M/s Adhunik Alloy Power Limited M/s Balaji Industrial Product Limited, M/s Kohinoor Steel, Vallabh Steel, M/s Bhushan Steel, M/s AM Steel & Power etc.

Another major industry in the state is silk production. Under this sector, Tassar plantation is being done over a land of 498 hectares. Under the Kuchai Silk Development Programme, plantation on 200 hectares of land, setting up of 30 spinning units and a provision for training 1125 people were created.

A reservoir of talent lies in the state's medium and small scale industries. The Jharkhand Government, to give the sector a fillip, has developed a special Purchase policy for the year 2007.

■ POWER: REACHING OUT TO VILLAGES

Jharkhand's possibilities are never-ending. The state has been blessed with abundant water resources and critical resources for production of thermal power. A major sector in the state in terms of investment would be power. The government hopes to achieve a target of 2000 MW of power in the state sector and 3000 MW under the national sector. A 4000-MW Ultra power project is being set up at Tilaiya.

The government is also inviting private participation in this sector. The private sector is expected to contribute a total of 4000 MW of power under the current scheme. A 1000 MW power plant will be set up under a joint venture agreement with Tata power and DVC, at the Maithon dam. This project would shape up within two years from now. Bidding for another power plant of the capacity of 2000 MW has started.

The Bokaro power plant would also be in a position to produce 500 MW from January 2008 onwards. As a result of these developments, in the next three years, the state would be in a position to produce surplus electricity. The major MOUs signed in this sector are with the Aditya Birla Group, Reliance Energy,